

The price of money

Many products that we use aren't produced in our own country, but come from abroad and have to be imported. Companies also sell their products to customers around the world. This international trade often involves transactions between people using different currencies. To do this, there has to be a way of exchanging money from one currency to another. People traveling abroad can get foreign currency at a bank or a *bureau de change*, a business that specializes in exchanging money. They offer money at a particular exchange rate—the amount of foreign currency that they will give in exchange for one US dollar, for example. The exchange rate is also used when countries trade with one another. A US company can offer its goods for sale giving the price in US dollars, and customers can use the exchange rate to see how much that is in their own currency, and then change their money into dollars to buy them.

Strong and weak

When people exchange their money for another currency, they are effectively buying foreign money. Although it may seem strange to think of buying and selling money, this is exactly what the banks and *bureaux de change* do, and the exchange rate is the price of that money. In this sense, currencies are just like any other commodity that can be bought and sold. In fact, there are specialized markets that deal in foreign exchange, or “forex,” trading. It's in these markets that the prices of the various currencies, and so the exchange rates, are set, according to how much demand there is for them. Because of this, the rates of exchange can vary from day to day, affecting the prices of goods that are traded internationally. However, the exchange rate decided by the market, and so the amount of a foreign currency you get for your money, may not be an accurate guide to what you can buy with it in the other country. The currencies of smaller and poorer countries aren't as much in demand as major currencies like the dollar, yen, or euro, so their value is lower. When a visitor from a rich country travels to these countries, he can buy more with his strong currency than he would be able to at home. There is therefore often a